 Name _____

Walmart: Reading the Real Financial Statements

Below are Walmart's actual numbers, slightly condensed, for **fiscal 2025** (Feb 1, 2024 – **Jan 31, 2025**; retailers end their year after the holiday season). All amounts are in **$ millions**, so 674,538 means $674.5 billion. Fill in each lettered blank using the relationships between accounts. A calculator is fine.

PART 1 · INCOME STATEMENT

Walmart Inc. — Income Statement *Year ended Jan 31, 2025*

Net sales		674,538
Membership and other income		6,447
Total revenues	A	**680,985**
Cost of sales		511,753
Gross profit *(net sales − cost of sales)*	B	**162,785**
Operating, SG&A expenses		139,884
Operating income *(total revenues − all operating costs)*	C	**29,348**
Interest, income taxes & other, net		9,191
Net income	D	**20,157**

PART 2 · BALANCE SHEET

Walmart Inc. — Balance Sheet *Jan 31, 2025*

Cash and cash equivalents		9,037
Receivables, net		9,975
Inventories		56,435
Prepaid expenses and other		4,011
Total current assets	E	**79,458**
Property, leases, goodwill & other		181,365
Total assets	F	**260,823**
Accounts payable		58,666
Other current liabilities		37,918
Total current liabilities		**96,584**
Long-term liabilities	H	**66,818**
Total liabilities	G	**163,402**
Total shareholders' equity		97,421
Total liabilities & equity		**260,823**

Hint: find G before H.

PART 3 · HOW THE ACCOUNTS CONNECT (Inventories were 54,892 on Jan 31, 2024.)

1. **Inventory flow.** Beginning inventory + Purchases − Cost of sales = Ending inventory. How much inventory did Walmart buy during the year? Purchases = I **513,296**
2. **Gross margin %** = Gross profit ÷ Net sales = J **24.1%** Out of every $100 of sales, about how many dollars are left after paying for the goods? K **$24**
3. **Inventory turnover** = Cost of sales ÷ Average inventory = L **9.2 times**
   Days an item sits on the shelf ≈ 365 ÷ L = M **40 days**
4. **Who pays for the shelves?** Accounts payable (58,666) is *larger* than inventories (56,435). In one sentence, what does that tell you?
   Walmart usually sells the goods before it has to pay its suppliers, so suppliers are financing Walmart's inventory. (It also explains why current liabilities exceed current assets.)

PART 4 · CONCEPTS

5. **LIFO.** Walmart's U.S. stores use LIFO. When purchase costs are *rising*, LIFO (vs. FIFO) gives: Cost of sales **higher** / lower ; Net income higher / **lower** ; Ending inventory higher / **lower** .
   LIFO puts the newest (most expensive) costs into cost of sales, and leaves the oldest (cheapest) costs in ending inventory.
6. **Membership fees.** On Nov 1, a customer pays $50 cash for a 12-month Sam's Club membership. On Walmart's Dec 31 books: revenue earned = N **$8.33** ; still owed as a liability = O **$41.67** , called P **Unearned revenue** .
   $50 × 2/12 = $8.33 is earned (Nov and Dec). The other $41.67 is unearned (deferred) revenue until the service is provided. (Ch4 adjusting entry.)

Source: Walmart Inc. Form 10-K for the fiscal year ended Jan 31, 2025 (SEC EDGAR). Condensed for class: "Property, leases, goodwill & other" and "Long-term liabilities" combine several lines. Total liabilities include a $271M redeemable noncontrolling interest. Net income is consolidated (including noncontrolling interests).